

PROPERTY AUDIT COST SHEET & AGREEMENT ANALYSIS

This document provides a comprehensive dummy property cost sheet and an agreement clause breakdown designed to identify hidden developer fees, deceptive pricing structures, and asymmetrical legal terms during property acquisition.

Part 1: Comprehensive Property Cost Sheet (Dummy Breakdown)

The table below outlines a standard sample cost sheet for a residential apartment unit. It contrasts standard developer line items against verified observations and hidden charges to watch for during auditing.

Cost Component	Calculation Basis	Dummy Amount (INR)	Hidden Charge / Red Flag Risk
Base Selling Price (BSP)	1,200 sq. ft. Carpet Area @ ₹7,500/sq. ft.	₹90,00,000	Watch if calculated on "Super Built-up Area" instead of Carpet Area, artificially inflating the total.
Preferential Location Charges (PLC)	Floor Rise (Floor 12 of 20) & Corner Unit View	₹3,50,000	Levying multiple overlapping PLCs without clear structural or aesthetic justification.
Car Parking Allocation	2 Covered Stilt Slots (1 Primary + 1 Optional)	₹4,00,000	Charging for mandatory open/stilt parking spaces that legally belong to common areas.
Infrastructure Development Charges (IDC)	Water, Electricity, and Sewage Grid Connection	₹2,50,000	Bundling government statutory fees into opaque lump-sum builder fees with no official receipts.
Clubhouse & Membership Fee	One-time Lifetime Facility Access	₹1,50,000	Collecting fees for unconstructed or non-operational recreational facilities.
Legal & Documentation Charges	Agreement Drafting & Registration Facilitation	₹25,000	Excessive flat fees or percentages scaled arbitrarily against total

Cost Component	Calculation Basis	Dummy Amount (INR)	Hidden Charge / Red Flag Risk
			property value.
Interest-Free Maintenance Deposit (IFMD)	Advance Maintenance for 24 Months @ ₹3/sq. ft./month	₹86,400	Lack of clarity on interest accrual and whether the corpus is transferred to the RWA.
Statutory Taxes (GST @ 5%)	Applicable on non-affordable under-construction units	₹4,69,320	Failure by the developer to pass on Input Tax Credit (ITC) benefits accrued during construction.
Total Estimated Acquisition Cost	Sum of all baseline and statutory components	₹1,07,30,720	Always check for final "All-Inclusive" transparency before signing booking forms.

Part 2: Critical Property Agreement Clauses & Audit Warnings

Review the draft Builder-Buyer Agreement (BBA) for the following standard high-risk clauses that heavily favor developers:

- **Asymmetric Default Interest Penalties:**
 - *The Clause:* Buyer pays 18% to 24% compound annual interest for delayed installment payments.
 - *The Catch:* Builder delay compensation is capped at a meager ₹5 per sq. ft. per month (approx. 1-2% per annum). Ensure alignment with RERA mandates for equal liability.
- **Unilateral Area Modification Clauses:**
 - *The Clause:* Developer reserves the right to alter final built-up or carpet area by up to +/- 10% at possession without buyer consent.
 - *The Catch:* Limit allowable variations to a maximum of +/- 3%. Any increase beyond this should not be billed at current escalation rates.
- **Vague Possession Timelines & Force Majeure Abuse:**
 - *The Clause:* "Projected possession by December 2028, subject to government approvals and unforeseen market conditions."
 - *The Catch:* Lack of a fixed calendar deadline and strict grace period triggers open-ended holding costs for buyers.
- **Monopolistic Facility Management Control:**
 - *The Clause:* Developer retains maintenance control for an indefinite period (e.g., 5-10 years) post-possession.
 - *The Catch:* Agreement must dictate mandatory handover of maintenance and sinking funds to an elected Resident Welfare Association (RWA) within 3 months of 50% occupancy.

Part 3: Actionable Audit Checklist for Buyers

1. Verify that all verbal promises regarding specifications, car parking numbers, and payment schedules are explicitly written into the agreement annexures.
2. Check project registration status and litigation history on the state RERA portal.
3. Insist on an itemized breakdown of taxes, statutory deposits, and utility connection fees.
4. Ensure an exit clause allowing a full refund with interest if possession is delayed beyond the grace period.